

Three, saving becomes a habit when you remove what you want to save from your spending money. Cash in the bank gets spent. And spending adjusts to what is available. Separate out what you intend to save from your salary or money inflow account. Now you see why we got our cash flows in order?

Four, the rule of thumb can be tweaked into an easier saving schedule once you get used to saving and investing. The thirties and forties in a householder's life are the decades of high expenses: the home and car EMIs are high; kids are growing up; and you are saving for their education and marriage.

But the decade of the fifties is one of high income and much lower expenditure. You are at the peak of your earning cycle. Your home EMIs are paid off (if they are not, know that they should be). Your kids are financially independent.

This is the decade when you can save at least half your income. I know people who save almost 70 per cent of their income at this age. If you are disciplined enough to target a much higher saving rate in your fifties, you can reduce the burden on your younger self.

I've devoted an entire chapter to retirement while you may be today worrying about making a down payment on a home or about your child's education or marriage. But you need to put on your oxygen mask first. When you travel by air, you must have heard the safety instruction – in case of an emergency, put on your oxygen mask first.

You need to have an eye on your retirement corpus, even as you build funds for your kids' education and marriage. A good value system, capacity for hard work and life skills are a better bequeath than a large corpus to buy a degree from abroad. ***Your oxygen mask is your retirement kitty; don't ignore that while you look after your current and more near-term money needs.***

This is the big goal for the future. The earlier you begin the better it is. Small amounts can grow to big amounts if put in the right fund. Think about funding at least twenty-five to thirty years of increasing living and medical costs after age sixty. **You are doing OK if ...**